Cafe Barra Financial Model & Volume Analysis

Prepared: March 18, 2026
Subject: Cost structure, unit economics, and volume requirements for $20K–$100K monthly profit targets

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Executive Summary

Cafe Barra's unit economics demonstrate strong margin performance across all channels, with gross margins ranging from 51% to 65% depending on product and distribution mix. Based on current cost structure ($5.50/lb green beans, $1.39/lb roasting, $0.50 packaging), the business requires between 1,700–8,900 units monthly to achieve $20K–$100K profit targets under a realistic channel mix assumption.

Key findings:

- **Primary channel mix:** 80% specialty retail/cafe (wholesale), 20% direct-to-consumer website sales (100–200 units/month baseline)
- **Unit economics:** $9.46 margin per 12oz wholesale bag; $12.96 retail; $45.89 per 5lb bag
- **Scale requirements:** $100K monthly profit requires 8,934 units (357/day), $179K revenue, 11,912 lbs green beans
- **Operational capacity:** 4.3 roast batches/day at $100K profit level, suggesting need for dedicated roasting staff and scaled equipment

The recommended channel strategy balances wholesale volume (predictable cash flow) with DTC margin enhancement (37% higher per-unit profit) while maintaining operational efficiency.

Cost Structure & Unit Economics

Input Costs

Cost Component	Rate	Notes
Green beans (delivered)	$5.50/lb	Includes shipping
Roasting	$125/90 lbs	$1.39/lb roasted
Packaging	$0.50/bag	Per unit, all sizes

Table 1: Core cost structure with larger distributor pricing

Critical conversion factor: 1 lb green beans yields 0.75 lb (12 oz) roasted coffee due to moisture loss during roasting. This 25% reduction materially impacts input cost per saleable pound.

Product Line Margins

Product	Price	Green Beans	Roasting	Packaging	Total Cost
12oz wholesale	$16.50	$5.50	$1.04	$0.50	$7.04
12oz retail (web)	$20.00	$5.50	$1.04	$0.50	$7.04
5lb bulk	$90.00	$36.67	$6.94	$0.50	$44.11

Product	Gross Margin ($)	Margin %	Channel
12oz wholesale	$9.46	57.3%	Specialty retail, cafes
12oz retail	$12.96	64.8%	Direct website sales
5lb bulk	$45.89	51.0%	Wholesale, subscriptions

Table 2: Unit economics by product and channel

Margin analysis: Retail DTC sales deliver 37% higher gross margin per 12oz bag versus wholesale ($12.96 vs $9.46), though wholesale drives volume and reduces fulfillment complexity. The 5lb format offers highest absolute dollar margin but represents limited addressable market.

Channel Mix Assumptions

Given stated business model priorities—specialty retail and cafe partnerships as primary volume drivers, with baseline DTC presence—the analysis uses the following assumptions:

Realistic channel distribution:

- **80% specialty retail/cafe wholesale** (12oz bags @ $16.50)
- **15% direct-to-consumer website** (12oz bags @ $20.00, baseline 100–200 units/month)
- **5% bulk/subscription** (5lb bags @ $90.00)

This mix reflects wholesale-first strategy while maintaining DTC margin enhancement and operational simplicity. The 100–200 monthly DTC unit baseline aligns with sustainable website traffic and conversion rates for emerging specialty coffee brands.

Volume Requirements by Profit Target

Monthly Unit Volumes (80/15/5 Channel Mix)

Profit Target	Total Units	Wholesale	DTC	5lb Bags	Revenue
$20,000	1,966	1,573	295	98	$37,945
$40,000	3,933	3,146	590	196	$75,889
$60,000	5,899	4,719	885	295	$113,834
$80,000	7,866	6,293	1,180	393	$151,778
$100,000	8,934	7,147	1,340	446	$179,006

Table 3: Monthly volume requirements across profit targets

Blended margin: $10.17/unit under 80/15/5 channel distribution, weighted by product mix and channel economics.

Raw Material Requirements

Profit Target	Green Beans (lbs/month)	Bean Cost	Roast Batches
$20,000	2,622	$14,419	29 batches
$40,000	5,244	$28,839	58 batches
$60,000	7,865	$43,258	87 batches
$80,000	10,487	$57,678	117 batches
$100,000	11,912	$65,518	132 batches

Table 4: Monthly green bean procurement and roasting capacity requirements

Operational note: Roasting capacity assumes 90 lb batch size. At $100K profit target (132 batches/month, 25 working days), operation requires 5.3 batches/day or approximately 7–8 hours of roasting time daily depending on equipment and cooling cycles.

Daily Operations Breakdown

Production & Fulfillment Volume (25 working days/month)

Profit Target	Daily Wholesale	Daily DTC	Daily 5lb	Roast Batches/Day
$20,000	63 units	12 units	4 bags	1.2
$40,000	126 units	24 units	8 bags	2.3
$60,000	189 units	35 units	12 bags	3.5
$80,000	252 units	47 units	16 bags	4.7
$100,000	286 units	54 units	18 bags	5.3

Table 5: Daily production and fulfillment requirements

Fulfillment complexity: Wholesale orders typically ship in case quantities (12–24 bags per account), reducing pick-pack complexity versus individual DTC shipments. At 286 wholesale units/day, operation likely services 12–20 retail accounts with weekly or bi-weekly deliveries.

DTC fulfillment (54 units/day at $100K level) represents manageable individual shipment volume for 1–2 dedicated fulfillment staff using commercial shipping platforms.

Scale Milestones & Organizational Implications

Business Maturity Stages

Stage	Profit	Daily Volume	Organizational Model
Starter	$20K	79 units/day	Founder + part-time help
Growth	$40K	158 units/day	1 FTE + founder
Established	$60K	236 units/day	2–3 FTEs, multi-account mgmt
Scaling	$80K	315 units/day	3–4 FTEs, regional distribution
Mature	$100K	357 units/day	5+ FTEs, dedicated roasting/fulfillment

Table 6: Profit milestones and corresponding operational requirements

Labor implications: Growth beyond $60K monthly profit requires dedicated roasting capacity (4+ batches/day exceeds part-time or founder-only operation). Wholesale account management, quality control, inventory management, and DTC fulfillment become specialized roles rather than founder-managed functions.

Strategic Considerations

Cash Flow Dynamics

Working capital requirements scale with volume but vary by channel:

- **Wholesale accounts:** Net-30 to Net-60 payment terms standard in specialty retail, requiring 1–2 months working capital to fund inventory between production and payment
- **DTC sales:** Credit card settlement within 2–3 days, providing immediate cash conversion
- **Green bean procurement:** Upfront payment typical with distributors; at $100K profit level, $65K monthly bean purchases represent significant capital requirement

Implication: DTC sales (15% of mix) generate disproportionate cash flow benefit despite smaller volume contribution, offsetting wholesale payment lag.

Margin vs. Volume Optimization

The 80/15/5 channel mix balances margin maximization with operational reality:

Why not increase DTC to 30%+?

- Customer acquisition cost (CAC) and retention economics limit sustainable DTC growth without significant marketing investment
- Wholesale partnerships provide bulk volume with lower variable marketing cost
- Fulfillment complexity increases linearly with DTC percentage

Why not shift more volume to 5lb format?

- Addressable market for 5lb bags limited to commercial accounts (cafes using house blend) and power-user subscriptions
- 12oz format remains dominant consumer preference for home brewing and gifting
- 5lb packaging and shipping costs increase faster than 12oz due to weight/dimensional pricing

Capacity Planning & Capital Investment

Critical thresholds:

- **$40K profit level:** Existing roasting capacity likely sufficient with optimized batch scheduling
- **$60K profit level:** Equipment or shift expansion required to handle 3.5+ batches/day sustainably
- **$80K+ profit level:** Dedicated roasting staff, commercial fulfillment space, inventory management systems become essential

Capital requirements for scaling beyond $60K include:

- Additional roasting capacity or second roaster: $15K–$50K depending on scale
- Commercial warehouse/fulfillment space: $2K–$5K/month
- Inventory management and order fulfillment software: $200–$500/month
- Working capital for 60-day bean inventory: $85K–$130K at $80K–$100K profit levels

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Conclusion & Recommendations

Cafe Barra's unit economics support profitable scaling across all analyzed profit levels. The business demonstrates healthy gross margins (51%–65%) with clear line of sight to $100K monthly profit at 357 units/day production volume.

Recommended actions by stage:

$20K–$40K (Starter/Growth):

- Establish 8–12 core wholesale accounts with predictable reorder cycles
- Build DTC baseline to 100–150 units/month through website optimization and local marketing
- Maintain lean operation with founder-led roasting and minimal fixed overhead

$40K–$60K (Growth/Established):

- Expand wholesale distribution to 15–20 accounts across regional markets
- Hire dedicated fulfillment/operations role to free founder for sales and account management
- Evaluate roasting capacity and equipment upgrade timing

$60K–$100K (Established/Scaling):

- Invest in second roaster or scaled commercial equipment
- Build 2–3 person operations team (roasting, fulfillment, QC)
- Formalize wholesale account management and regional distribution partnerships
- Maintain 15%–20% DTC mix as margin enhancement and brand building channel

The 80/15/5 channel distribution model provides sustainable path to $100K monthly profit while preserving operational efficiency and capital efficiency. Wholesale partnerships drive volume; DTC sales enhance margin and cash flow; bulk format serves niche high-value accounts.